Response to Referee R2

We thank the editor and referees for their continued engagement with our paper. Below we provide a brief summary of the main changes in this revision and then respond to each comment in turn.

- **Stock-return analysis.** Following R2's suggestion, the paper now presents the stock market evidence in a table and three event figures. Table 1 reports raw returns for four portfolios—the value-weighted market, equal-weighted portfolios of firms with and without gold-clause exposure, and the gold-exposure-weighted portfolio—over each of the three key events, along with firm counts. Figures 3–5 plot all four series around each event. Over the Joint Resolution window, gold-exposed firms returned 30.9–31.4% against 25.4% for comparable non-exposed firms and 12.1% for the market. A new Internet Appendix section examines every intermediate legal event of the litigation (the first hearing, the lower-court rulings, and the certiorari grants) and reports the corresponding return differentials (Table IA.20); apart from the November 1934 window, in which the second certiorari grant coincided with the midterm election and which we discuss separately, none produced significant differential returns.

- **Robustness with the full set of fixed effects.** Following R6's request, new Internet Appendix Table IA.19 re-estimates columns 2–10 of Table 7 with industry-year fixed effects, so that every characteristic-control specification is also shown with the full fixed-effect structure. For $1933 \times \tilde{d}$ the estimates are essentially unchanged and remain significant (at the 5% level in seven of nine specifications, 10% in all nine); for $1934 \times \tilde{d}$ significance is lost in seven of nine columns, mainly through attenuation of the point estimates rather than wider standard errors, with no sign reversals. Section 5 now states this by year and notes that the attenuation appears only when characteristic-year controls are stacked on top of industry-year cells.

- **Limitations of the exposure measure.** Section 5.5 now contains an explicit limitations paragraph acknowledging that, because virtually all corporate bonds of the era carried gold clauses while preferred shares carried none, our exposure measure is necessarily entangled with the composition of a firm's fixed claims, and that our placebo and control strategies mitigate but cannot fully eliminate this concern.

- **Pre-trends and event-time patterns.** Section 5.2 now acknowledges directly that, given the width of the confidence intervals around individual year estimates, the litigation-year coefficients cannot be statistically distinguished from individual pre-treatment estimates such as the 1930 coefficient, and clarifies that the support for the parallel-trends assumption rests on the full pre-treatment pattern.

- **Liberty bond discussion.** We have revised the historical background section to clarify why Liberty Bond prices rose during the Supreme Court arguments in January 1935. Since Liberty Bonds were gold-denominated government obligations, a government loss would have obligated the Treasury to honor gold payments at the then-prevailing price of $35 per ounce—69% above the pre-abrogation level—increasing the real value of the bonds to holders. We have also added the missing *New York Times* citation.

Corrections identified while rebuilding the replication code. As part of this revision we rebuilt the paper's replication code end to end, so that every table and figure regenerates from the raw data. This exercise surfaced two issues in Table 4 of the previous draft, which we have corrected; neither affects any result the paper relies on, and we report both columns before and after the corrections below for completeness. First, the note to column 5 misdescribed the specification: the column uses an alternative exposure measure that scales gold-clause debt by the firm's total fixed claims (bank debt, bonds, and preferred shares), rather than the baseline $\tilde{d}$ on a restricted sample. The column header, the table note, and the corresponding text in Section 5 now describe the specification correctly; the estimates are unchanged except for one standard error in the third decimal. Second, the "no redemption" sample of column 4 (and of Internet Appendix Table IA.12, column 1) inadvertently excluded 37 unexposed firms that lacked a prior-year observation during 1931–1935, an artifact of missing-value handling in the original code; the revised sample excludes only the 90 firms that retired their gold-clause debt during the litigation window. The only significance change is that the marginally significant $1928 \times \tilde{d}$ interaction in column 4 loses its 10% star.

	Column 4 (No redemption)		Column 5 (Fixed claims)	
	Round 1	Revised	Round 1	Revised
Q	0.085***	0.086***	0.123***	0.123***
	(0.015)	(0.014)	(0.022)	(0.022)
$\tilde{d}$	-0.097**	-0.094**	-0.057*	-0.057*
	(0.033)	(0.034)	(0.030)	(0.030)
$1926 \times \tilde{d}$	0.057**	0.061**	0.033	0.033
	(0.021)	(0.022)	(0.026)	(0.026)
$1927 \times \tilde{d}$	0.026	0.010	0.043	0.043
	(0.028)	(0.030)	(0.031)	(0.031)
$1928 \times \tilde{d}$	0.061*	0.039	0.020	0.020
	(0.030)	(0.031)	(0.028)	(0.028)
$1929 \times \tilde{d}$	0.046	0.040	0.005	0.005
	(0.029)	(0.029)	(0.025)	(0.025)
$1930 \times \tilde{d}$	-0.018	-0.024	-0.038	-0.038
	(0.022)	(0.022)	(0.024)	(0.024)
$1931 \times \tilde{d}$	0.004	0.004	-0.015	-0.015
	(0.014)	(0.014)	(0.014)	(0.014)
$1933 \times \tilde{d}$	-0.068***	-0.064***	-0.058***	-0.058***
	(0.013)	(0.013)	(0.013)	(0.014)
$1934 \times \tilde{d}$	-0.032***	-0.036***	-0.043***	-0.043***
	(0.011)	(0.010)	(0.009)	(0.009)
$1935 \times \tilde{d}$	0.025**	0.027**	0.018**	0.018**
	(0.010)	(0.010)	(0.008)	(0.008)
$1936 \times \tilde{d}$	0.001	0.006	-0.011	-0.011
	(0.012)	(0.011)	(0.012)	(0.012)
$1937 \times \tilde{d}$	0.015	0.005	-0.007	-0.007
	(0.016)	(0.016)	(0.017)	(0.017)
$1938 \times \tilde{d}$	0.000	0.009	-0.006	-0.006
	(0.019)	(0.019)	(0.019)	(0.019)
$1939 \times \tilde{d}$	-0.021	-0.025	-0.034*	-0.034*
	(0.015)	(0.016)	(0.017)	(0.017)
$1940 \times \tilde{d}$	-0.005	-0.013	-0.013	-0.013
	(0.016)	(0.016)	(0.016)	(0.016)
R^2	0.221	0.224	0.252	0.252
Observations	5,572	5,918	6,048	6,048

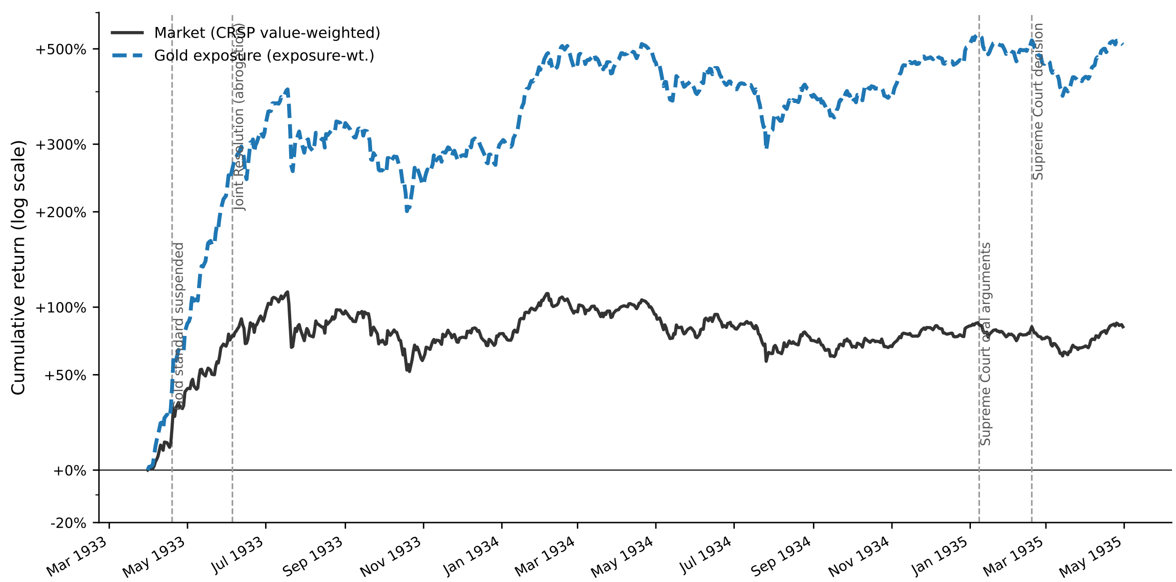
The rebuild surfaced three smaller corrections in the same category. First, the standard errors in column 7 of Table 4 (the bank-debt placebo) were inadvertently clustered by firm only in the previous draft; they are now two-way clustered by firm and year, like every other column. The coefficients are unchanged; two pre-period placebo interactions become significant at conventional levels, and the litigation-year cells remain insignificant. Second, the stock-return series in Section 3 are now built directly from CRSP daily returns; the previous draft's figures came from an intermediate spreadsheet extract that contained an error (the Joint Resolution returns, for example, change from 11.7% and 27.2% to 12.1% and 31.4%), and the post-argument window is now defined by the documented press dates (January 11–17, 1935). Table 1 and the event figures reflect the corrected series. Third, the firm count and summary statistics in Panel C of Table 2 have been corrected (503 firms rather than 594). None of these corrections affects any result the paper relies on.

That said, I think there is one larger issue outstanding. The authors reference the portfolio returns (stock market responses) to various legal developments in section 3 (page 10). This analysis is insightful but not well-explained. In my opinion, the return analysis deserves a table and more detail on the data and summary statistics, some of which can be provided in the appendix. A figure might help too. Consider time series of (cumulative) returns for a) the market, b) firms with gold exposure (unweighted), firms with gold exposure (Weighted as indicated in footnote 10) and d) firms without gold exposure. Such a figure with "event lines" (joint resolution, first lawsuits, potentially lower court rulings, start of Supreme Court arguments (poor government showing), Supreme Court decision) would visualize the argument of the authors. I could also see the return analysis in a regression framework. The point here is that illustrate that market clearly responded to relevant events around the abrogation supporting the key identification argument of the authors.

Thank you for this suggestion. We have added Table 1 and three event-study figures (Figures 3–5), each plotting exactly the four series the referee lists—the CRSP value-weighted market, equal-weighted portfolios of firms with and without gold-clause exposure, and the gold-exposure-weighted portfolio of footnote 10—all constructed from CRSP daily returns. Table 1 reports the raw returns of the four portfolios over each event window; Internet Appendix Table IA.20 adds the gold-minus-non-gold differential, with a t-statistic based on the calm-period variability of the daily differential, for every intermediate litigation event. The central result is the Joint Resolution window (May 26–June 6, 1933): the market gained 12.1%, the non-exposed portfolio 25.4%, the gold-exposed portfolio 30.9%, and the exposure-weighted portfolio 31.4%; the exposed-minus-non-exposed differential of +5.5 percentage points ($t \approx 3.3$) is the gold-specific response that the abrogation's debt relief predicts.

The oral-arguments window itself is nearly flat (-1.3% market, -1.4% gold-weighted). One possible reason is that news of the government's poor showing may have reached the public only gradually—many newspapers reported on the argument sessions on January 11 and 12 (Edwards, 2018): from January 11 through January 17 the market fell a further 3.0% and the gold-weighted portfolio 4.6% (the gold-versus-non-gold differential over these days, -1.2 percentage points, is not statistically significant), with Liberty Bond prices reaching their highest level since 1917 by January 13 (New York Times, 1935). Section 3 now makes this point directly.

The referee also suggests a single full-period series with event lines. We constructed this figure and reproduce it below for the referee. We chose not to include it in the paper: over a two-year window dominated by the 1933 reflation rally, the cumulative scale compresses the event-window movements that carry the identification, as the figure illustrates. The event-line evidence instead appears at the event level, with the event dates marked in Figures 3–5.



The figures also reveal a size pattern that we address directly rather than leave to the reader. Over the Joint Resolution window the two equal-weighted portfolios gained 25–31% while the value-weighted market gained 12%: small firms rallied far more than large firms, which could raise the concern that the exposed-minus-non-exposed differential reflects firm size rather than gold exposure. The natural check is to value-weight the two portfolios, but in this sample that comparison is dominated by a handful of firms: the five largest of the 177 gold-exposed firms carry 48% of the value-weighted gold portfolio's weight, and the ten largest carry two thirds. The value-weighted differential over the Joint Resolution window, −2.2 percentage points ($t \approx -2.2$ under the same convention), is therefore effectively a comparison of a few of the era's giants—Standard Oil of

New Jersey, General Electric, and U.S. Steel among them—with their non-exposed counterparts, not a statement about the average exposed firm.

We therefore hold size fixed instead. New Internet Appendix Table IA.21 (reproduced below) repeats the equal-weighted comparison within size terciles formed on market capitalization at the end of 1932—before the litigation year, so that the classification cannot reflect the events themselves. Over the Joint Resolution window the differential is positive in all three terciles (+4.6, +4.9, and +2.4 percentage points for small, medium, and large firms), and the medium-tercile differential is significant at the 5% level under every alternative breakpoint and measurement date we examined. Adjusting each differential for the portfolios' market betas leaves the small-firm differential essentially unchanged and reduces the medium and large ones. The post-argument days show the mirror image: the gold-exposed portfolio underperforms in the small and medium terciles, with essentially no differential among the largest firms. Section 3 now summarizes this evidence—the differential is positive in every tercile, weaker though still visible among the largest firms—and notes that 1933 is the most volatile year for individual stocks in the CRSP record, which makes statistical significance within subsamples hard to achieve over short windows.

Event-window returns by firm size

	Gold exposure	No gold exposure	Raw Diff.	Raw t	Beta-adjusted Diff.	Beta-adjusted t
Panel A: Joint Resolution (May 26–June 6, 1933)						
Small	49.0%	44.4%	+4.6	(1.3)	+4.2	(1.2)
Medium	24.8%	20.0%	+4.9	(2.2)	+2.5	(1.2)
Large	18.3%	15.9%	+2.4	(1.5)	+0.9	(0.7)
Panel B: Supreme Court Arguments (January 8–10, 1935)						
Small	-1.1%	-0.7%	-0.3	(-0.2)	-0.3	(-0.1)
Medium	-1.2%	-2.1%	+0.9	(0.7)	+1.3	(1.1)
Large	-1.7%	-1.3%	-0.4	(-0.4)	-0.1	(-0.2)
Panel C: Post-Argument Days (January 11–17, 1935)						
Small	-4.8%	-3.1%	-1.7	(-0.6)	-1.7	(-0.6)
Medium	-5.3%	-3.5%	-1.8	(-1.0)	-1.2	(-0.7)
Large	-3.4%	-3.2%	-0.2	(-0.2)	+0.1	(0.1)
Panel D: Supreme Court Decision (February 18, 1935)						
Small	3.3%	2.8%	+0.6	(0.5)	+0.5	(0.4)
Medium	4.6%	3.7%	+0.9	(1.2)	+0.3	(0.4)
Large	3.2%	3.0%	+0.2	(0.4)	-0.1	(-0.3)

Note. Cumulative raw returns of the equal-weighted gold-exposed and non-exposed portfolios within size terciles formed on market capitalization at the end of 1932 (gold/non-gold firm counts: small 69/116, medium 51/133, large 57/127). "Diff." is the gold-minus-non-gold differential in percentage points. The beta-adjusted differential subtracts $(\beta_G - \beta_N) \times R_m$, where R_m is the value-weighted market return over the window and portfolio betas are equal-weighted averages of firm-level market betas estimated from daily returns over the full 1926–1940 sample (small: $\beta_G = 0.93$, $\beta_N = 0.90$; medium: $\beta_G = 1.11$, $\beta_N = 0.91$; large: $\beta_G = 1.02$, $\beta_N = 0.90$). t-statistics scale each differential by $\hat{\sigma}\sqrt{h}$, where h is the number of trading days in the window and $\hat{\sigma}$ is the standard deviation of the corresponding daily differential over calm 1934 trading days, as in Table 1 of the paper.

The weaker response among the largest firms is what the mechanism predicts rather than a puzzle: the equity response to news about the value of gold-clause debt should scale with that debt relative to the value of equity, and gold-clause debt relative to market capitalization is roughly an order of magnitude larger for small exposed firms than for the largest tercile. It also parallels the investment evidence, where allowing for size heterogeneity in the aggregation yields more moderate effects among large firms (Internet Appendix Table IA.18). Within terciles the t-statistics are naturally modest, and we would caution against reading much into any single cell: 1933 is the most volatile year for individual U.S. stocks in the full century of CRSP data, and the cross-sectional dispersion of daily returns in the Joint Resolution window is more than triple its late-1920s level, so nine-day comparisons within portfolios of 51–133 firms are noisy almost by construction. The aggregate differential (+5.5 percentage points, $t \approx 3.3$), which pools all firms, remains the appropriately powered statistic; the size split shows that its sign is not an artifact of the smallest firms.

On the first lawsuits and lower court rulings, new Internet Appendix Section IA.1 (Table IA.20) examines every intermediate legal step: the first hearing on the enforceability of gold clauses (May 22–24, 1933), the lower-court rulings upholding the Joint Resolution (*In re Missouri Pacific*, June 20, 1934; the *Norman* affirmance, July 3, 1934), and the certiorari grants (October 8 and November 5, 1934). None of the judicial steps through October produced a significant differential response (differentials of +1.4, −1.2, +0.7, and +0.7 percentage points, all with $|t| \leq 1.5$), consistent with procedural steps that confirmed the status quo being largely anticipated; a footnote in Section 3 points readers to this analysis. The size split reinforces these null results: as new Internet Appendix Table IA.22 (reproduced below) shows, none of the four judicial events produces a differential exceeding $|t| = 1.3$ in any size tercile, raw or beta-adjusted.

The exception is November 5–8, 1934 (+3.5 percentage points, $t \approx 3.6$), which confounds the second certiorari grant with the midterm election—the exchange was closed on election day—and which we identified in the course of the analysis rather than ex ante. The size split sharpens our reading of this window: the differential is entirely a small-firm phenomenon (+8.4 percentage points, $t \approx 4.2$, in the bottom tercile, against +0.9 and +0.1 in the middle and top), a footprint quite different from the Joint Resolution's, which is positive across all three terciles. A certiorari grant, moreover, raises the risk that abrogation would be overturned, so strong gold-exposed outperformance would be the wrong sign for a gold-specific reaction. Both features point to the election rather than the certiorari grant as the driver; Section IA.1 now makes this point, and continues to treat the window as corroborating rather than main evidence (Figure IA.2).

Intermediate legal and political events, by firm size

	Gold exposure	No gold exposure	Raw Diff.	Raw t	Beta-adjusted Diff.	Beta-adjusted t
Panel A: First gold-clause hearing, Irving Trust (May 22–24, 1933)						
Small	8.8%	6.7%	+2.1	(1.0)	+1.9	(1.0)
Medium	8.6%	7.7%	+0.9	(0.7)	-0.2	(-0.2)
Large	7.4%	6.3%	+1.2	(1.3)	+0.5	(0.6)
Panel B: In re Missouri Pacific ruling (June 20–22, 1934)						
Small	-5.5%	-3.9%	-1.6	(-0.8)	-1.5	(-0.8)
Medium	-5.1%	-4.3%	-0.9	(-0.7)	-0.1	(-0.1)
Large	-4.7%	-3.6%	-1.1	(-1.2)	-0.6	(-0.9)
Panel C: Norman affirmed, N.Y. Ct. App. (July 3–6, 1934)						
Small	1.6%	1.8%	-0.2	(-0.1)	-0.2	(-0.1)
Medium	2.0%	1.1%	+0.9	(0.7)	+0.4	(0.4)
Large	2.9%	1.7%	+1.2	(1.3)	+0.9	(1.3)
Panel D: Certiorari granted, Norman (Oct. 8–10, 1934)						
Small	4.5%	2.4%	+2.1	(1.0)	+2.1	(1.0)
Medium	0.7%	1.0%	-0.3	(-0.2)	-0.5	(-0.5)
Large	0.8%	1.0%	-0.2	(-0.3)	-0.4	(-0.5)
Panel E: Certiorari granted & midterm election (Nov. 5–8, 1934)						
Small	14.6%	6.2%	+8.4	(4.2)	+8.4	(4.2)
Medium	4.7%	3.8%	+0.9	(0.7)	+0.5	(0.4)
Large	2.5%	2.4%	+0.1	(0.1)	-0.2	(-0.2)

Note. Same construction as the previous table; each window is three trading days from the event date, following Table IA.20.

One small point on last sentence page 12/top page 13. I don't think that the Liberty bond prices reflect a flight to safety. Indeed, Liberty bonds were very much part of debate since they were to *be paid in gold and in the end were not due to the US leaving the gold standard (which is why some argue that this constitutes sovereign default). If anything, the high prices of Liberty bonds indicated that observations thought it likely that the government could lose the case. Either the authors provide a better explanation for the Liberty bond behavior, which is currently stated without the appropriate context or they delete the sentence. Also, the citation to the NYTimes article is missing.*

Thank you for this comment. We have revised the passage to provide the appropriate context for the Liberty Bond price increase. Liberty Bonds were themselves gold-denominated government obligations, promising payment in gold at par. A government loss in the gold clause cases would have obligated the Treasury to honor that promise at the then-prevailing price of $35 per ounce—69% above the pre-abrogation level—increasing the real value of the bonds to holders. Their rising prices in January 1935 therefore reflected investor expectations that the government could lose the case. The historical background section now reads:

> "During the three days of oral arguments (January 8–10), the market reacted little: it fell 1.3%, and our gold-exposure-weighted portfolio declined 1.4%. News of the government's poor showing reached the public only gradually—many newspapers reported on the argument sessions on January 11 and 12 (Edwards, 2018)—and it is as the news spread that a differential appears, modest relative to the volatility of the period and concentrated among small and medium firms: between January 11 and January 17, the market fell a further 3.0% while the gold-exposure-weighted portfolio declined 4.6%. By January 13, the *New York Times* reported that, amid 'the speculative fever for gold,' Liberty Bond prices had reached their highest level since 1917 (New York Times, 1935). Since Liberty Bonds were themselves gold-denominated government obligations, their rising prices reflected investor expectations that the government could lose the case and be forced to honor full gold payments."

We have also added the missing citation: *New York Times*, "Gold Issue Hits Highest since 1917," January 13, 1935, p. 2.

REFERENCES

Edwards, Sebastian, 2018, *American Default: The Untold Story of FDR, the Supreme Court, and the Battle Over Gold* (Princeton University Press).

New York Times, 1935, Gold issue hits highest since 1917, January 13, p. 2.